

Module 2: Introduction to Sustainability and Reporting Frameworks - II

Q.1. Evolution of Sustainability Reporting in India

Concept

The evolution of sustainability reporting in India refers to the gradual development of frameworks and regulations requiring Indian companies to disclose their environmental, social, and governance performance, moving from voluntary guidelines to mandatory reporting.

In simple words, sustainability reporting in India has evolved from being optional and informal to being a compulsory, structured requirement for large listed companies.

Example: A company that once published only a brief CSR report now files a detailed BRSR as part of its annual report, due to SEBI's mandate.

Key Milestones in the Evolution of Sustainability Reporting in India

1. CSR Voluntary Guidelines (2009)

The Ministry of Corporate Affairs released voluntary CSR guidelines, encouraging companies to engage in socially responsible activities.

2. National Voluntary Guidelines / NVGs (2011)

The MCA released the National Voluntary Guidelines on Social, Environmental and Economic Responsibilities of Business, encouraging voluntary sustainability disclosures.

3. Business Responsibility Report (BRR) Mandate (2012)

SEBI made it mandatory for the top 100 listed companies (later extended) to file a Business Responsibility Report based on the NVGs.

4. Companies Act, 2013 - Mandatory CSR

The Companies Act, 2013 made CSR spending mandatory for certain companies, marking a shift towards compulsory social responsibility.

5. National Guidelines on Responsible Business Conduct / NGRBC (2019)

The MCA revised the NVGs into NGRBC, aligning India's principles with global standards such as the UN SDGs.

6. Business Responsibility and Sustainability Report (BRSR) Mandate (2021)

SEBI introduced BRSR, making detailed ESG-based reporting mandatory for the top 1,000 listed companies from FY 2022-23.

7. BRSR Core and Assurance (2023 onwards)

SEBI introduced "BRSR Core," a subset of key ESG indicators requiring assurance, for the top 150 listed companies, gradually extending mandatory third-party assurance.

Conclusion

Thus, sustainability reporting in India has evolved significantly - from voluntary CSR guidelines in 2009 to the detailed, mandatory, and increasingly assured BRSR framework today - reflecting the growing importance of ESG disclosures for Indian businesses.

Q.2 Business Responsibility Report (BRR) vs Business Responsibility and Sustainability Report (BRSR)

Concept

The Business Responsibility Report (BRR) was an earlier SEBI-mandated disclosure format based on the National Voluntary Guidelines, while the Business Responsibility and Sustainability Report (BRSR) is its more detailed and structured successor, based on the NGRBC principles.

In simple words, BRR was the older, simpler sustainability report, while BRSR is the newer, more detailed and quantitative version that replaced it.

Example: A company that previously submitted a brief, narrative-style BRR now submits a detailed, data-driven BRSR with specific quantitative indicators.

Differences Between BRR and BRSR

Basis	BRR	BRSR
Full Form	Business Responsibility Report	Business Responsibility and Sustainability Report
Nature	Earlier reporting framework	Updated and more comprehensive framework
Main Focus	Responsible business practices	Business responsibility and sustainability
Guidelines	Based on National Voluntary Guidelines (NVGs)	Based on National Guidelines on Responsible Business Conduct (NGRBC)
Sustainability	Had limited and less detailed sustainability reporting	Gives greater importance to environmental and sustainability matters

Basis	BRR	BRSR
Reporting	More descriptive in nature	More structured, detailed and measurable
Environmental Information	Covered environmental responsibility	Provides wider disclosure of environmental performance and impacts
Social Information	Covered employees, communities and other stakeholders	Provides more detailed social and stakeholder-related information
Governance	Included responsible governance practices	Includes detailed governance and responsible business disclosures
Comparability	Comparability was relatively limited	Designed to improve consistency and comparability of information
Purpose	To disclose responsible business practices	To provide stakeholders with a broader picture of responsibility and sustainability performance

Conclusion

Thus, BRSR represents a significant advancement over BRR, replacing a simpler, more qualitative report with a detailed, standardized, and increasingly assured framework that aligns Indian sustainability reporting with global best practices.

Q.3 Structure of BRSR – Section A, B & C

Concept

The Business Responsibility and Sustainability Report (BRSR) is structured into three sections – Section A, Section B, and Section C – each covering a different aspect of a company's sustainability disclosures.

In simple words, BRSR is divided into three parts: basic company information, how sustainability is managed, and detailed performance against nine principles.

Example: A company's BRSR would first list its basic details (Section A), then describe its sustainability policies (Section B), and finally report detailed performance data against each of the nine NGRBC principles (Section C).

Structure of BRSR

1. Section A: General Disclosures

This section covers basic details about the company, such as its **products/services**, **operations**, **employees** and **workers**, holding/subsidiary/associate companies, and CSR details.

2. Section B: Management and Process Disclosures

This section covers the company's **policies and processes** for implementing the nine NGRBC principles, including governance structures, board-level oversight, and how policies are reviewed.

3. Section C: Principle-Wise Performance Disclosures

This section requires companies to report detailed performance data against **each of the nine NGRBC principles**, split into Essential Indicators (mandatory core data) and Leadership Indicators (voluntary, more advanced disclosures).

Conclusion

Thus, the three-section structure of BRSR — moving from **general company information**, to **management processes**, to **detailed principle-wise performance** — ensures a comprehensive and standardized sustainability disclosure that can be compared across companies.

Q.4 Principle-Wise BRSR Disclosures

Concept

Principle-wise BRSR disclosures refer to the detailed performance data that companies must report in Section C of the BRSR, organized separately under each of the nine NGRBC principles.

In simple words, **principle-wise disclosures** mean a company must report **specific facts and figures** showing how well it is following each of the nine responsible business principles.

Example: Under Principle 6 (Environment), a company must disclose details of its energy consumption, water usage, and greenhouse gas emissions.

Principle-Wise BRSR Disclosures

1. Principle 1 – Ethics, Transparency and Accountability

Companies disclose information on **anti-corruption policies**, complaints received regarding conflicts of interest, and details of any fines or penalties for unethical conduct.

2. Principle 2 – Sustainable and Safe Products/Services

Companies disclose R&D and **capital expenditure** on sustainability, percentage of inputs sourced sustainably, and processes for safe disposal of products.

3. Principle 3 - Employee Well-Being

Companies disclose details of employee wages, benefits, training hours, health and safety measures, and workplace accident rates.

4. Principle 4 - Stakeholder Responsiveness

Companies disclose how they identify key stakeholders and the processes used to address their grievances and concerns.

5. Principle 5 - Human Rights

Companies disclose human rights training provided to employees, minimum wage compliance, and mechanisms to address human rights grievances.

6. Principle 6 - Environmental Protection

Companies disclose data on energy consumption, water usage, greenhouse gas emissions, and waste management practices.

7. Principle 7 - Responsible Policy Advocacy

Companies disclose their membership in trade and industry associations and details of public policy advocacy undertaken.

8. Principle 8 - Inclusive Growth

Companies disclose their CSR spending, details of social impact assessments, and initiatives for inclusive development of communities.

9. Principle 9 - Consumer Value

Companies disclose mechanisms for handling consumer complaints, data privacy practices, and product recall procedures, if any.

Conclusion

Thus, principle-wise disclosures form the core of BRSR's Section C, requiring companies to provide detailed, structured performance data across all nine NGRBC principles, enabling stakeholders to assess a company's responsible business conduct comprehensively.

Q.5 Sustainability Indicators - Environmental, Social and Governance

Concept

Sustainability Indicators are specific, measurable metrics used to assess a company's performance across Environmental, Social, and Governance (ESG) dimensions.

In simple words, sustainability indicators are the actual numbers and facts companies use to show how well or poorly they are doing on environmental, social, and governance matters.

Example: A company's total greenhouse gas emissions in tonnes is an environmental indicator, while the percentage of women in senior management is a social indicator.

Environmental Indicators

1. Energy Consumption

Measures the total energy used by a company, often broken down into renewable and non-renewable sources.

2. Greenhouse Gas (GHG) Emissions

Measures the company's carbon footprint, typically reported as Scope 1 (direct), Scope 2 (indirect from energy), and Scope 3 (value chain) emissions.

3. Water Usage and Management

Measures water consumption, water recycling, and discharge practices.

4. Waste Management

Measures the volume of waste generated and the proportion recycled, reused, or safely disposed of.

Social Indicators

1. Employee Diversity

Measures representation of women and other groups across different levels of the organisation.

2. Employee Health and Safety

Measures workplace accident rates, safety training, and health and wellness initiatives.

3. Community Development

Measures the company's CSR spending and impact on local communities.

Governance Indicators

1. Board Composition

Measures the independence, diversity, and expertise of the company's board of directors.

2. Anti-Corruption Measures

Measures the existence and effectiveness of anti-bribery and anti-corruption policies.

3. Transparency and Disclosure Practices

Measures the quality, completeness, and timeliness of a company's ESG-related disclosures.

Conclusion

Thus, sustainability indicators across Environmental, Social, and Governance dimensions provide the specific, measurable data that allows stakeholders to objectively evaluate and compare a company's sustainability performance.

Q.6. Introduction to Materiality Assessment

Concept

Materiality Assessment is the process by which a company identifies and prioritizes the sustainability issues that are most significant to its business operations and to its stakeholders.

In simple words, materiality assessment means figuring out which environmental and social issues matter the most to a company and its stakeholders, so that reporting and action can focus on what's truly important.

Example: A water-intensive beverage company may identify water usage as a highly material issue, while this might be less material for a software company.

Process of Materiality Assessment

1. Identifying Relevant Sustainability Issues

The company identifies a broad list of potential environmental, social, and governance issues relevant to its industry and operations.

2. Engaging Stakeholders

The company consults key stakeholders, such as employees, investors, customers, and communities, to understand which issues matter most to them.

3. Assessing Business Impact

The company evaluates how significantly each issue could impact its financial performance, reputation, and operations.

4. Prioritizing Material Issues

Based on stakeholder input and business impact, issues are ranked and the most significant ones are identified as "material."

5. Developing a Materiality Matrix

The results are often plotted on a matrix comparing "importance to stakeholders" against "importance to business," visually highlighting the most material issues.

6. Integrating into Reporting and Strategy

The identified material issues are then prioritized in the company's sustainability reporting and strategic planning.

Conclusion

Conclusion

Thus, materiality assessment helps a company focus its sustainability efforts and reporting on the issues that matter most, ensuring that limited resources are directed towards the most significant environmental, social, and governance concerns.

Q.7 Assurance and Future Trends in Sustainability Reporting

Concept

Assurance in sustainability reporting refers to an independent verification process that checks the accuracy and reliability of a company's sustainability disclosures, similar to how financial audits verify financial statements.

In simple words, assurance means having an independent expert check and confirm that a company's sustainability report is accurate and trustworthy.

Example: An independent auditor verifying a company's reported carbon emissions data before it is published in the BRSR.

Assurance in Sustainability Reporting

1. Purpose of Assurance

Assurance increases the credibility and reliability of sustainability disclosures for investors and other stakeholders.

2. Types of Assurance

Assurance can be "limited" (a lower level of checking) or "reasonable" (a more thorough, higher level of checking), similar to financial audit standards.

3. BRSR Core Assurance

SEBI has mandated reasonable assurance for BRSR Core indicators, starting with the top listed companies, with the requirement gradually extending to more companies.

4. Independent Assurance Providers

Assurance is typically provided by independent third-party auditors or specialized sustainability assurance firms.

Future Trends in Sustainability Reporting

1. Mandatory Assurance Expansion

Assurance requirements are expected to expand to a larger number of companies over time, similar to how financial audits are universally mandatory.

2. Global Standardization

Increasing convergence towards global sustainability reporting standards, such as those from the International Sustainability Standards Board, is expected to make reports more comparable across countries.

3. Increased Use of Technology

Greater use of digital tools, data analytics, and even AI is expected to improve the accuracy and efficiency of sustainability data collection and reporting.

4. Focus on Supply Chain (Scope 3) Emissions

There is a growing expectation for companies to measure and report emissions across their entire value chain, not just their own direct operations.

5. Integration with Financial Reporting

Sustainability reporting is expected to become more closely integrated with financial reporting, moving towards a single, unified corporate report.

Conclusion

Thus, assurance is becoming an increasingly important part of sustainability reporting to ensure credibility, while future trends point towards greater standardization, technology use, and closer integration between sustainability and financial reporting.